### a) Removal by shareholders 169

A company (whether public or private) may, by giving a special notice and passing an ordinary resolution, remove a director before the expiry of his period of office without the proof of mismanagement, breach of trust, misfeasance or other misconduct on the part of the director. If the shareholders feel that the policies pursued by the director are not appropriate, then director can be removed. The shareholders can do so by passing an ordinary resolution in a general meeting.

### b) Removal by the Central Government

The Central Government has been empowered to remove managerial personnel from office on the recommendation of the Company Law Board under the following circumstances.

(i) Where a person concerned in the conduct and management of the affairs of a company has been guilty of fraud, misfeasance, persistent negligence in carrying out his obligations.

(ii) Where the business of a company has not been conducted and managed by such a person, in accordance with sound business principles or prudent commercial practices;

(iii) Where the business of a company has been conducted and managed by such a person in a manner which is likely to cause injury or damage to the interest of the trade, industry or business.

(iv) Where the business of the company has been conducted and managed by such a person with the intent to defraud its creditors, members or any other persons.

### c) Removal by the Company Law Board

If an application has been made to the Company Law Board against the oppression and mismanagement of the company's affairs by a director, then the Company Law Board may order for the termination of the director's tenure or set aside any agreement that has been entered into between the company and the director. Such order can effect the removal of the director from his office.

## 27.11 Remuneration of Director

Managerial Persons covered are Managing Director, Whole-time Director, Part time Directors and managers who shall be paid remuneration in accordance with provisions of Section 197 of the Companies Act, 2013.

### Managerial Remuneration

The Managerial remuneration is payable to a person's appointed u/s 196 of the Act. The Term remuneration means any money or its equivalent given or passed to any person for services rendered by him and includes perquisites.

1. Value of rent-free or concession accommodation
2. Value any other items provided at free of cost or at concessional rate. .
3. value of securities / sweat equity shares allotted or transferred by the employer or former employer to the employee.
4. a contribution made by an employer to an approved superannuation fund.
5. Value of any other fringe benefit or amenity.
6. Stock options would be part of remuneration for all directors.

### Forms of Managerial Remuneration

1. Based on Profit of the company
2. Based on Shareholders' recommendations
3. Based on Shareholders' and Central Government recommendations.

### Remuneration Allowed to Managerial Person in case of Company's having adequate profits:

A Public Company can pay remuneration to its directors including Managing Director and Whole-time Directors, and its managers which shall not exceed 11% of the net profit and



12th Commerce Unit 10.indd 252 12/14/2020 2:55:34 PM